

14.	30-2023-01351883 Mayorga vs. The Grand Theatre, Inc	1. Motion to Deem Facts Admitted Plaintiff Yanel Mayorga (“Plaintiff”) moves to deem Requests for Admission, Set One admitted against Defendant Musa Madain on the grounds that he failed to serve any responses. Plaintiff also seeks \$1,860 in monetary sanctions. Defendant The Grand Theater, Inc. and Musa Madain (“Defendants”) oppose the motion, arguing that verified responses without objections were provided on 06/01/2026 (which is the same day that this motion was filed). Code of Civil Procedure section 2033.280 provides that if a party to whom requests for admission are directed fails to serve a timely response, the party waives any objection to the requests. (Code Civ. Proc., § 2033.280.) The requesting party may also move for an order that the genuineness of documents and the truth of any matters specified in the requests be deemed admitted. (Code Civ. Proc., § 2033.280. subds. (a)-(b).) The court shall deem the matters admitted unless it finds that the party to whom the requests for admission have been directed has served, before the hearing on the motion, a proposed response to the requests for admission that is in substantial compliance with Section 2033.220. (Code Civ. Proc., § 2033.280, subd. (c).) Monetary sanctions are mandatory against the party or attorney who necessitated the motion unless the court finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (<i>Ibid.</i>) Here, the motion to deem matters admitted is DENIED AS MOOT because Defendant provided verified responses without objections on 06/01/2026. Still, Defendant’s failure to timely respond to the requests for admissions necessitated the motion and therefore the Court GRANTS monetary sanctions in the reduced amount of \$660 to be paid within 30 days of this order. Defendants to give notice.
15.	30-2026-01544617 DeBouck vs. Bays Apartment Newport, LLC	1. Case Management Conference 2. Motion to Compel Arbitration Defendants, Bays Apartment Newport LLC and Irvine Management Company (collectively, “Defendants”) move for an order compelling this matter to binding arbitration and staying this action until the completion of arbitration. Defendants contend that a valid agreement to arbitrate exists between Defendants and Plaintiff Heather DeBouck, who executed the lease agreement and arbitration addendum; that Plaintiff Melanie DeBouck is a third-party beneficiary of the lease agreement and is equitably estopped from refusing arbitration; that the arbitration agreement is subject to the Federal Arbitration Act (“FAA”) which preempts state law, including Civil Code section 1953; and that there is a delegation clause which leaves the question of scope and applicability of the arbitration agreement to the arbitrator. Plaintiffs Heather DeBouck and Melanie DeBouck (“Plaintiffs”) do not dispute that they executed residential lease agreements with Defendants, but argue that even assuming the FAA governs, the

motion should be denied because the arbitration agreement is unconscionable, as is the delegation clause. Plaintiffs also argue that they do not rely on Civil Code section 1953 to evade the FAA if the FAA governs, but that if the FAA does not govern, Civil Code section 1953 provides additional state law grounds.

Applicability of the FAA

The party asserting the Federal Arbitration Act (“FAA”) bears the burden to show it applies by presenting evidence establishing the contract with the arbitration provision has a substantial relationship to interstate commerce, and the failure to do so renders the FAA inapplicable. (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 234.) “[T]he United States Supreme Court has identified ‘three categories of activity that Congress may regulate under the commerce power: (1) the channels of interstate commerce, (2) the instrumentalities of interstate commerce and persons or things in interstate commerce, and (3) those activities having a substantial relation to interstate commerce.’ [Citations.]” (*Ibid.*)

Parties to an arbitration agreement may expressly designate that any arbitration proceeding should move forward under the FAA’s procedural provisions rather than under state procedural law. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 394.) By stating that “enforcement of this agreement to arbitrate shall be governed by the Federal Arbitration Act” in the arbitration provision, “the parties intended to incorporate the FAA with respect to compelling arbitration.” (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 346.) Thus, even if a transaction does not involve interstate commerce, “the parties may [] voluntarily elect to have the FAA govern enforcement of the [a]greement.” (*Id.* at 355 [“the presence of interstate commerce is not the only manner under which the FAA may apply.”]; see also *Barrera v. Apple American Group LLC* (2023) 95 Cal.App.5th 63, 76 [“since arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement.”].)

Where a “contract specifies that claims shall be arbitrated ‘pursuant to the FAA’ . . . there is no ambiguity regarding the parties’ intent,” they adopted the FAA to govern their arbitration and the FAA controls, including section 3 which requires the court to stay the judicial proceeding and compel arbitration.” (*Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122.)

As explained by the Court in *Nixon v. AmeriHome Mortgage Company, LLC* (2021) 67 Cal.App.5th 934: “Section 2 is ‘the primary substantive provision of the FAA’ and ‘applies in both federal and state courts.’” (*Id.* at 944 [citing *Judge v. Nijjar Realty, Inc.* (2014) 232 Cal.App.4th 619, 631].) “[T]he procedural provisions of the CAA [the California Arbitration Act] apply in California courts by default...[T]he parties may ‘expressly designate that any arbitration proceeding [may] move forward under the FAA’s procedural provisions rather than under state procedural law.’ [Citation]. Absent such an express designation, however, the FAA’s procedural provisions do not apply in state court.” (*Nixon, supra*, 67 Cal.App.5th at p. 945.)

Per *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, “we examine the language of the contract to determine whether the parties intended to apply the FAA to the exclusion of California procedural law.” (*Id.* at pp. 1121-1122). The Court in *Rodriguez* found that language requiring arbitration “pursuant to the FAA” was broad and unconditional, such that the parties adopted *all* of the FAA. (*Id.*) “[W]hen an agreement provides that its ‘enforcement’ shall be governed by the FAA, the FAA governs a party’s motion to compel arbitration.” (See *Victrola 89, LLC v. Jamanm Properties 8 LLC* (2020) 46 Cal.App.5th 337, 346.)

Here, the 2021, 2022, 2023, and 2024 lease agreements attached an Arbitration Addendum which states, in part: “The Lease and this arbitration and class action waiver Addendum shall be governed

by, and all questions and disputes regarding arbitrability shall be determined in accordance with the Federal Arbitration Act, 9 U.S.C. Sections 1-16, notwithstanding any other choice of law provision.” (Declaration of Renee Doll (“Doll Decl.”), ¶¶ 3-6, Ex. 1-4 at pp. TIC000021-000022, TIC000044-000045, TIC000072-000073, TIC000102-000103, Arbitration Addendums, ¶ 1.) Thus, based on the express language in the Arbitration Addendum, the FAA governs the instant motion to compel arbitration.

Plaintiffs do not dispute that the FAA governs the instant motion to compel arbitration.

Existence and Validity of Arbitration Agreement

“Under ‘both federal and state law, *the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate.*’ [Citation].” (*Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396, emphasis in original (“*Cruise*”).) The court is to determine whether a valid arbitration agreement exists, and if so, whether the agreement encompasses the dispute at issue. (*Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 960-961, citing *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84; *Lifescan, Inc. v. Premier Diabetic Servs., Inc.* (9th Cir. 2004) 363 F.3d 1010, 1012.)

On a motion to compel arbitration, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].)

In determining the validity or “the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration. [Citations.]” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236; *Circuit City Stores, Inc. v. Najd* (9th Cir. 2002) 294 F.3d 1104, 1108 (“*Circuit City*”).) General principles of contract law apply to determine whether the parties have entered into a binding agreement. (*Ibid.*) Generally, an arbitration agreement must be in writing, and a party’s acceptance of an agreement to arbitrate may be express or implied in fact. (*Ibid.*) “The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (*Ibid.*) Generally applicable contract defenses, such as lack of consideration and mutual assent, may invalidate an arbitration agreement. (*Circuit City, supra*, 294 F.3d at p. 1108.)

“Federal and California law treat valid arbitration agreements like any other contract and favor their enforcement. [Citations.]” (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 492.) There is a liberal federal policy favoring arbitration. (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.) “Although the FAA preempts any state law that stands as an obstacle to its objective of enforcing arbitration agreements according to their terms,...we apply general California contract law to determine whether the parties formed a valid agreement to arbitrate their dispute.” (*Ford Motor Warranty Cases (Ochoa)* (2023) 89 Cal.App.5th 1324, 1332.) “General contract law principles include that ‘[t]he basic goal of contract interpretation is to give effect to the parties’ mutual intent at the time of contracting.” (*Id.*) “The words of a contract are to be understood in their ordinary and popular sense.” (*Id.*) “Furthermore, ‘[t]he whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other.’” (*Id.*)

Plaintiffs do not dispute that they both executed residential lease agreements with Defendants, including the Arbitration Addendum.

The Arbitration Addendums state, in relevant part:

1. Arbitration of Disputes. Any dispute, claim or controversy arising out of or relating to this Lease or your tenancy with Landlord, including the breach, termination, enforcement, interpretation or validity thereof, and including the determination of the scope or applicability of this provision to arbitrate (“Claim” or “Claims”) shall be determined by binding arbitration in the County in which the subject Premises is located, before one neutral arbitrator. Except for the exclusions listed below, arbitration shall be the exclusive and binding remedy for any Claims between the Parties and shall be used instead of any court action or jury trial, which are hereby expressly waived The arbitrator shall have the exclusive authority to resolve any Claims, including any dispute relating to the interpretation, applicability, enforceability or formation of this agreement and any claim that all or any part of this agreement is unconscionable, void or voidable.

2. Exclusions. The following Claims are excluded from arbitration: (i) an unlawful detainer action; (ii) the filing of small claims action pursuant to California Civil Code Section 1950.5; or (iii) any other Claim within the jurisdiction of probate, small claims or bankruptcy court. This Addendum shall not preclude parties from seeking provisional remedies in aid of arbitration from a court of appropriate jurisdiction, and the filing of a court action to enable the recording of a notice of pending action, for order of attachment, receivership, injunction, or other provisional remedies, shall not constitute a waiver of this arbitration provision.

(Exs. 2-4 to Doll Decl., at pp. TIC000021-000022, TIC000044-000045, TIC000072-000073, TIC000102-000103, Arbitration Addendums, ¶¶ 1-2.)

The Arbitration Addendums were made part of the lease between Plaintiff, Heather DeBouck, and Bays Apartments Newport LLC (“Landlord”) which was executed by Irvine Management Company, its duly authorized agent. (Exs. 2-4 to Doll Decl., at pp. TIC000021-000022, TIC000044-000045, TIC000072-000073, TIC000102-000103, Arbitration Addendums, Introductory paragraph and signature lines.)

Plaintiff, Melanie DeBouck, executed a form entitled, “Change in Occupancy Lease Amendment – Addition” which provides that effective March 19, 2024, she will be added to the Lease, that she “assumes and agrees to perform and fulfill all terms, covenants, conditions, and obligations required to be performed and fulfilled under the Lease, including making all payments due to or payable to Landlord under the Lease, irrespective of whether they became due on or after the date of this Amendment”, and that “Landlord does not waive or relinquish any rights under the Lease against any Residents.” (Ex. 5 to Doll Decl., TIC000111, Change in Occupancy Lease Amendment – Addition, ¶¶ 1-3.) It also provides: “All remaining terms, conditions, covenants, rights, restrictions, and entitlements of the Lease and all addenda not expressly changed by this Amendment, including the Gross Monthly Rent and Lease End Date shall remain unmodified and continue in full force and effect.” (*Id.*, ¶ 4.)

Based on the foregoing, there exists a valid agreement to arbitrate “[a]ny dispute, claim or controversy arising out of or relating to this Lease or your tenancy with Landlord” as between Plaintiffs and Defendants.

Applicability of Arbitration Addendum to Melanie DeBouck

Defendants contend that Plaintiff Melanie DeBouck is subject to the agreement to arbitration as a third party beneficiary and is equitably estopped from refusing arbitration.

Plaintiffs do not dispute these assertions and thereby implicitly concede to these arguments. Nor do Plaintiffs dispute that Defendants may enforce the agreement to arbitrate.

The general rule is “one must be a party to an arbitration agreement to be bound by it or invoke it.” (*Westra v. Marcus & Millichap Real Estate Investment Brokerage Co., Inc.* (2005) 129 Cal.App.4th 759, 763.) Even when the FAA applies, whether a contract may be enforced by or against a nonsignatory to the contract is determined by principles of state law. (*Philadelphia Indemnity Ins. Co. v. SMG Holdings, Inc.* (2019) 44 Cal.App.5th 834, 840.) “To that, ‘there are six theories by which a nonsignatory may be bound to arbitration: “(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary.” ’ [Citation.]” (*Id.* at p. 841.) “Under the third party beneficiary theory, a nonsignatory may be compelled to arbitrate where the nonsignatory is a third party beneficiary of the contract. [Citation.] Whether a nonsignatory is an intended third party beneficiary to the contract is determined from the parties’ intent, as gleaned from the contract as a whole and the circumstances under which it arose. [Citation.]” (*Ibid.*)

Here, the Arbitration Addendum executed in 2024 states, in relevant part: “This agreement to arbitration extends to and includes Resident, Resident’s Occupants, Household Members, and any others under Resident’s control (collectively, ‘Resident’s Related Parties’). Resident acknowledges and agrees that Resident’s Related Parties are third party beneficiaries of the Lease, and that it is equitable to impose this duty to arbitrate on them.” (Ex. 4 to Doll Decl., at p. TIC000102, Arbitration Addendum, ¶ 1.) As a result, Plaintiff Melanie DeBouck is a third party beneficiary of the lease, which includes the Arbitration Addendum.

There is an exception for equitable estoppel which allows nonsignatories to compel arbitration of disputes arising out of the scope of the arbitration agreement. (*Garcia v. Pexco, LLC* (2017) 11 Cal.App.5th 782, 785-786 (“*Garcia*”); *Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513.) “Under this exception, ‘a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are “intimately founded in and intertwined with” the underlying contract obligations.’ [Citation.]” (*Garcia, supra*, 11 Cal.App.5th at p. 786.)

Plaintiff Melanie DeBouck’s claims in this action arise from her tenancy at the subject property and are intimately founded in and intertwined with the lease obligations. Therefore, she is also subject to the agreement to arbitrate based on equitable estoppel.

The Delegation Clause

Defendants contend that there is a delegation clause which delegates the scope, applicability, and enforceability of the arbitration agreement to the arbitrator.

Plaintiffs contend that the delegation clause itself is unconscionable for the same reasons the agreement to arbitrate is unconscionable.

The Ninth Circuit observed that cases in which a motion to compel arbitration is brought implicate three types of disputes: (1) the “Merits Question”—a dispute between the parties regarding the merits of an issue (*e.g.* Plaintiffs’ substantive claims against Defendants); (2) the “Arbitrability Question”—a dispute regarding whether the parties agreed to arbitrate the Merits Question (*e.g.*, whether the Contract’s arbitration provision requires Plaintiff and Defendants to Plaintiff’s claims); and (3) the “Delegation Question”—a dispute regarding whether an arbitrator or a court is tasked with deciding

the Arbitrability Question. (*SEIU Local 121RN v. Los Robles Regional Medical Center* (9th Cir. 2020) 976 F.3d 849, 852.)

“The parties to an arbitration agreement can agree in a delegation provision ‘to arbitrate “gateway” questions of “arbitrability,” such as whether the parties have agreed to arbitrate or whether their agreement covers a particular controversy.’ [Citation.] An agreement to arbitrate a gateway issue—otherwise known as a delegation provision—is simply an additional, antecedent agreement the party seeking arbitration asks ... [a] court to enforce,’ [Citations.]” (*J.R. v. Electronic Arts Inc.* (2024) 98 Cal.App.5th 1107, 1114.) “A party opposing enforcement of a delegation provision under the FAA must ‘challenge[] the delegation provision specifically.’ [Citations.]” (*Ibid.*) “Absent such a challenge, a court must treat the delegation provision as valid and enforce it, ‘leaving any challenge to the validity of [the arbitration agreement or] the [a]greement as a whole for the arbitrator.’ [Citation.]” (*Ibid.*)

“The question whether the parties have submitted a particular dispute to arbitration, *i.e.*, the ‘*question of arbitrability*,’ is ‘an issue for judicial determination [u]nless the parties clearly and unmistakably provide otherwise.’ [Citations.]” (*Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 83; see also *Nelson v. Dual Diagnosis Treatment Center, Inc.* (2022) 77 Cal.App.5th 643, 654 [“ ‘Under California law, it is presumed the judge will decide arbitrability, unless there is clear and unmistakable evidence the parties intended the arbitrator to decide arbitrability’ ”].) “The delegation provision is an agreement to arbitrate threshold issues concerning the arbitration agreement.” (*Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 68.) “[P]arties can agree to arbitrate ‘gateway’ questions of ‘arbitrability,’ such as whether the parties have agreed to arbitrate or whether their agreement covers a particular controversy. [Citations.]” (*Id.* at pp. 68-69.)

California courts look to federal law when deciding arbitration issues under state law, have “looked to the FAA when considering delegation clauses [citation], and have long held that the rules governing these clauses are the same under both state and federal law. [Citations.]” (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 239-240.) Parties to an arbitration agreement may agree to delegate to the arbitrator, instead of a court, questions regarding the enforceability of the agreement. (*Id.* at p. 241.) The court may consider the validity of the delegation clause. (*Id.* at p. 241, fn. 4.) For a delegation clause to be effective two pre-requisites must be met: (1) the language of the clause must be clear and unmistakable, and (2) the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability. (*Id.* at p. 242.) The party seeking to enforce a delegation clause must show that it is clear and unmistakable; silence or ambiguity is insufficient. (*Ibid.*)

“This is a ‘heightened standard’ that ‘pertains to the parties’ manifestation of intent, not the agreement’s validity.’ [Citations.]” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 772.) “The ‘clear and unmistakable’ test applies under both the FAA and California law. [Citation.]” (*Ibid.*) “[A] court must look to the *precise nature of the claim* that the party resisting arbitration is making. If it is claiming that it never agreed to the arbitration clause at all—e.g., if it is claiming forgery or fraud in the factum—then the court must consider that claim. On the other hand, if it is not denying that it agreed to the arbitration clause, but instead is claiming some other defense to enforcement of the arbitration clause—e.g., illegality or fraud in the inducement—then the court must enforce the ‘arbitrability’ portion of the arbitration clause by compelling the parties to submit that defense to arbitration.” (*Bruni v. Didion* (2008) 160 Cal.App.4th 1282, 1287.)

Here, the Arbitration Addendums state, in part: “The arbitrator shall have the exclusive authority to resolve any Claims, including any dispute relating to the interpretation, applicability, enforceability or

formation of this agreement and any claim that all or any part of this agreement is unconscionable, void or voidable. (Ex. 4 to Doll Decl., at p. TIC000102, Arbitration Addendums, ¶ 1.) As such, the delegation clause in the Arbitration Addendum is clear and unmistakable, and the delegation clause expressly delegates the applicability and enforceability of the agreement to arbitrate “and any claim that all or any part of this agreement is unconscionable” to the exclusive authority of the arbitrator. Although Plaintiff claims that the delegation clause itself is unconscionable, Plaintiff does not actually challenge the delegation clause specifically. Instead, Plaintiff relies on the same argument as to the asserted unconscionability of the agreement to arbitrate as a whole, i.e., the delegation clause appears in the same standardized Arbitration Addendum, and the arbitration agreement lacks mutuality because Plaintiffs’ tenancy-related claims, including threshold challenges to arbitration, are directed to a private forum, while the Arbitration Addendum expressly preserves a judicial forum for unlawful-detainer proceedings.

There is a clear and unmistakable delegation clause delegating questions of applicability, enforceability, and unconscionability to the arbitrator.

Defendants’ motion to compel arbitration is **GRANTED**.

The action is **stayed pending completion of arbitration**. (9 U.S.C. § 3.)

Defendants to give notice.